



Time: 5 minutes

Outcome: Trace entry, exit, zero economic profit, normal profit, and long-run competitive adjustment.

Difficulty: ●●● Advanced

Entry, Exit & Long-Run Equilibrium



THE CORE IDEA

Economic profit attracts entry; economic loss encourages exit. Entry increases market supply and lowers price, while exit does the reverse. With free entry and identical firms, long-run equilibrium has zero economic profit: price equals minimum average total cost (ATC). Firms still earn the normal return included in economic cost.



HOW TO RECOGNIZE IT

- Positive economic profit attracts entry and shifts market supply right.
- Persistent losses encourage exit and shift market supply left.
- At long-run equilibrium, price, marginal cost (MC), and minimum ATC are equal.

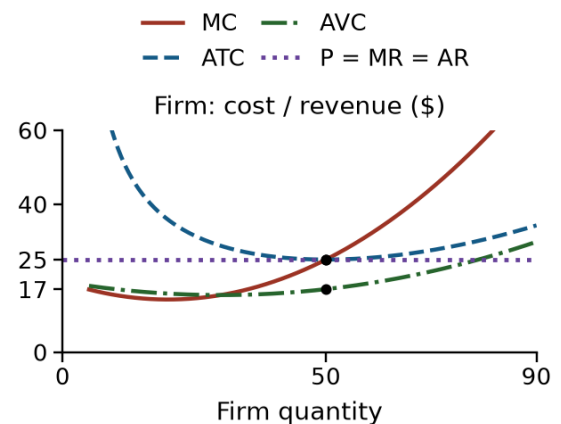
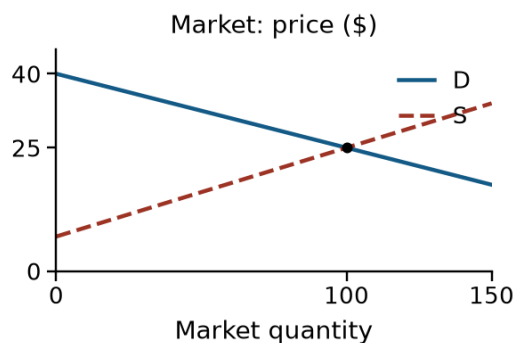


WATCH OUT

Zero economic profit includes a normal return to owners. It does not mean zero accounting profit or zero revenue.



WORKED EXAMPLE: ENTRY AND ZERO ECONOMIC PROFIT



The market price is \$25 at quantity 100. The representative firm produces 50 where price equals MC and minimum ATC, so economic profit is zero. Average variable cost (AVC) is \$17, below price. Entry or exit has removed the incentive for further changes in the number of firms.



CHECK YOURSELF

Why can accounting profit be positive at zero economic profit?



READY?

Return to the game and master this concept.